

BLUE OCEAN STRATEGY



*How to Create Uncontested Market Space
and Make the Competition Irrelevant*

A STRATEGIC FRAMEWORK FOR VALUE INNOVATION | BASED ON THE WORK OF W. CHAN KIM & RENÉE MAUBORGNE

The Red Ocean Trap: Why You Must Stop Competing

RED OCEAN STRATEGY

- 🦈 Compete in existing market space
- 🦈 Beat the competition
- 🦈 Exploit existing demand
- 🦈 Make the value-cost trade-off
- 🦈 Alignment: Differentiation OR Low Cost



BLUE OCEAN STRATEGY

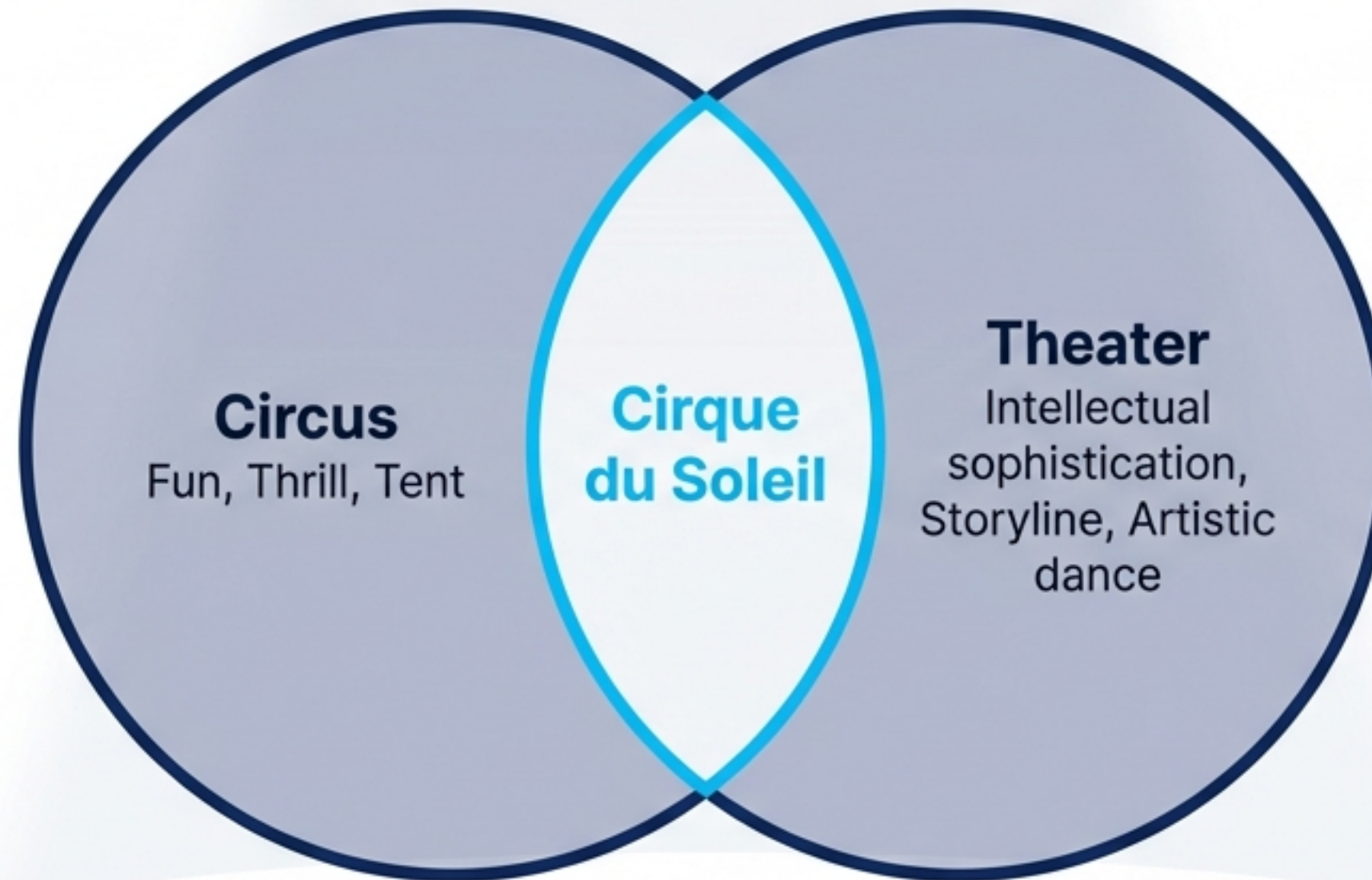
- 🧭 Create uncontested market space
- 🧭 Make the competition irrelevant
- 🧭 Create and capture new demand
- 🧭 Break the value-cost trade-off
- 🧭 Alignment: Differentiation AND Low Cost



Reinventing the Industry: The Cirque du Soleil Case

The Challenge

Cirque entered a declining industry dominated by Ringling Bros., facing strong supplier power (star performers), rising costs, and falling demand from children favoring PlayStations.



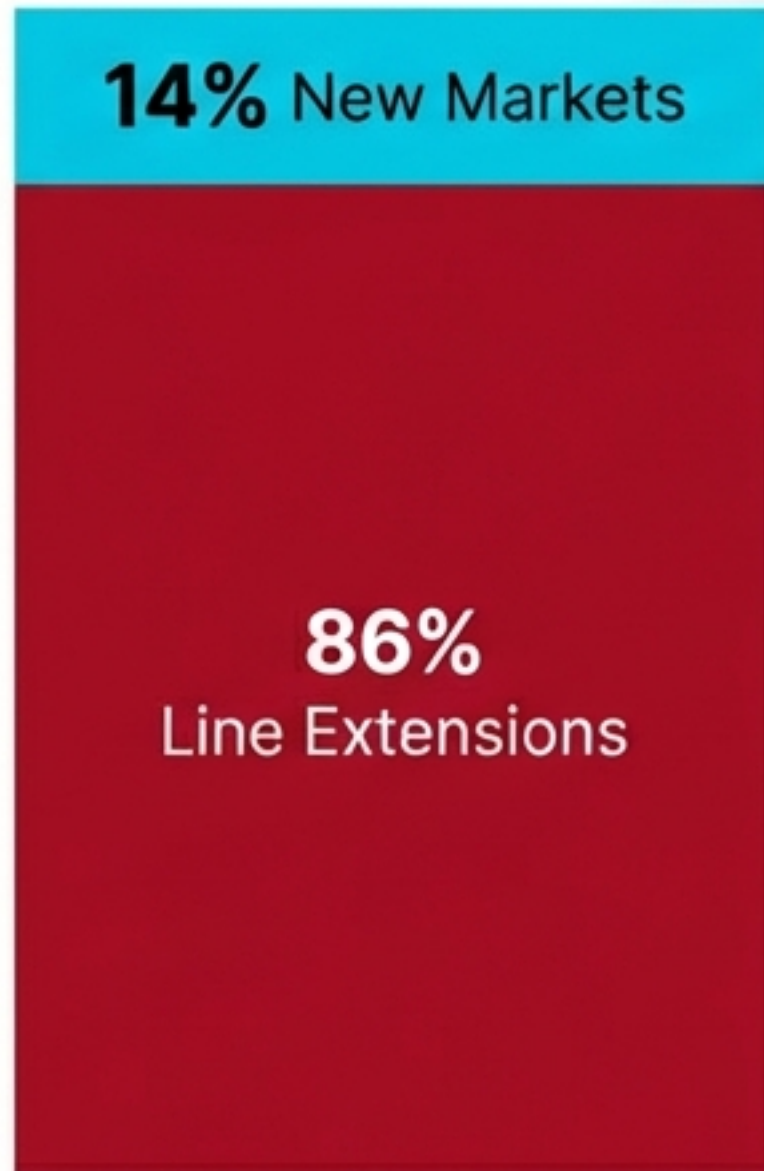
The Shift

They stopped competing with the circus. They created a hybrid market—part circus, part theater—appealing to adults willing to pay premium prices.

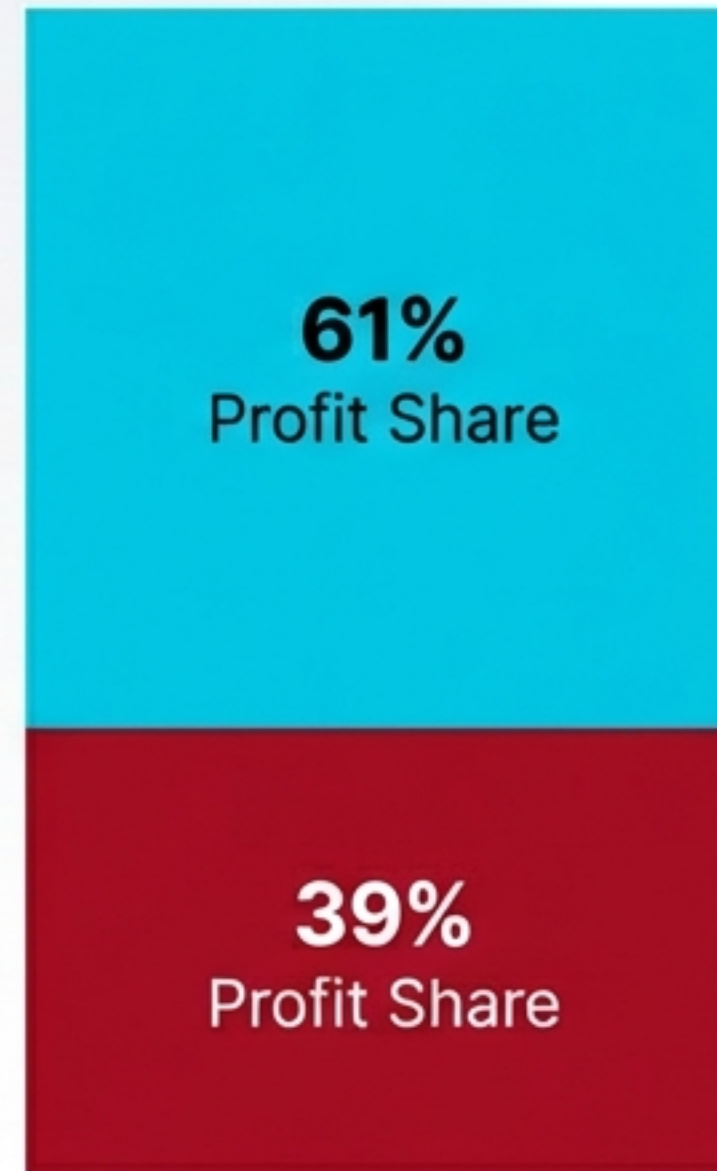
The Profit Impact of Creating Blue Oceans

Based on a study of 108 business launches

Business Launches

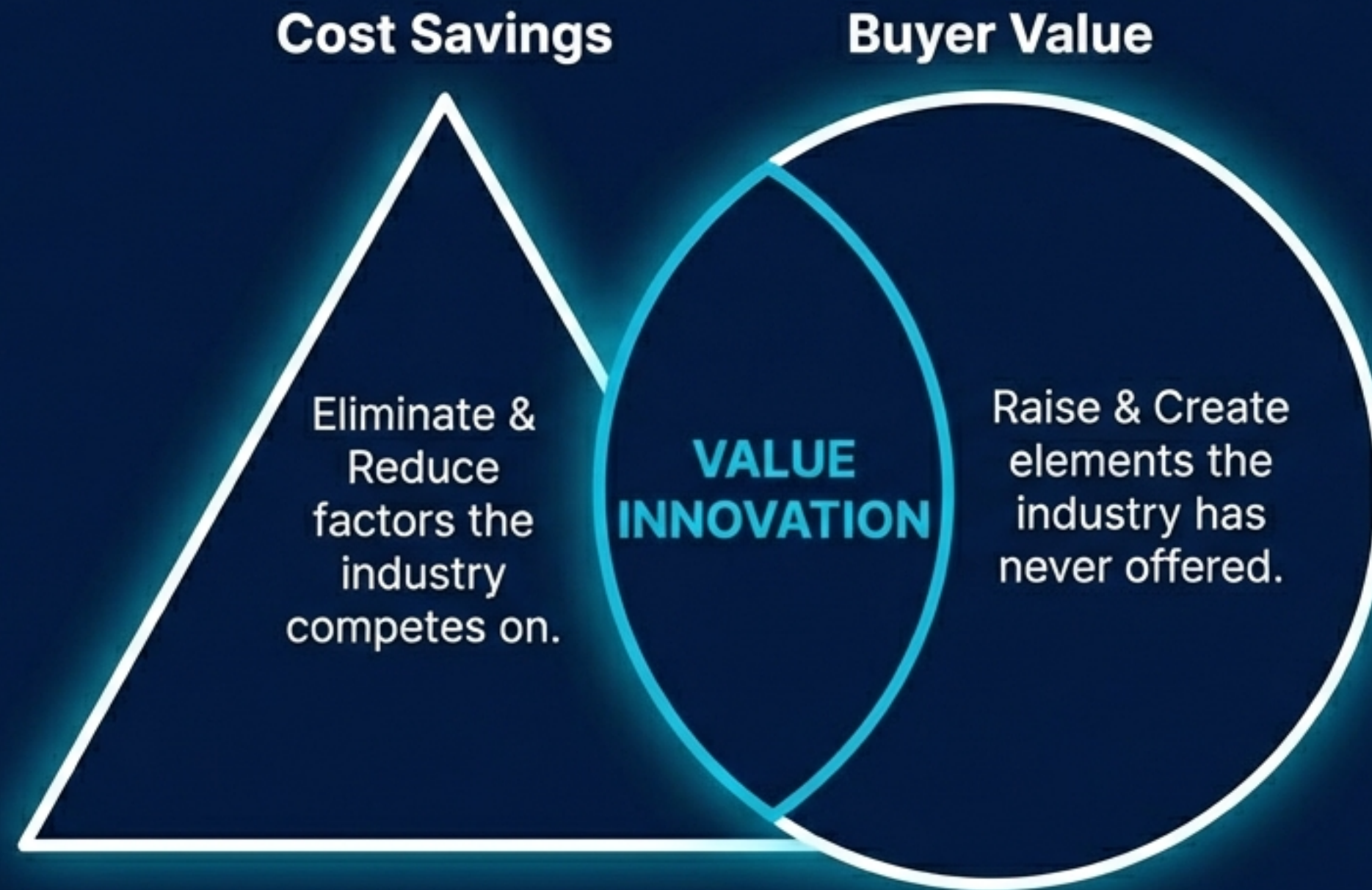


Profit Impact



Blue Ocean moves account for only 14% of launches but deliver 61% of total profits.

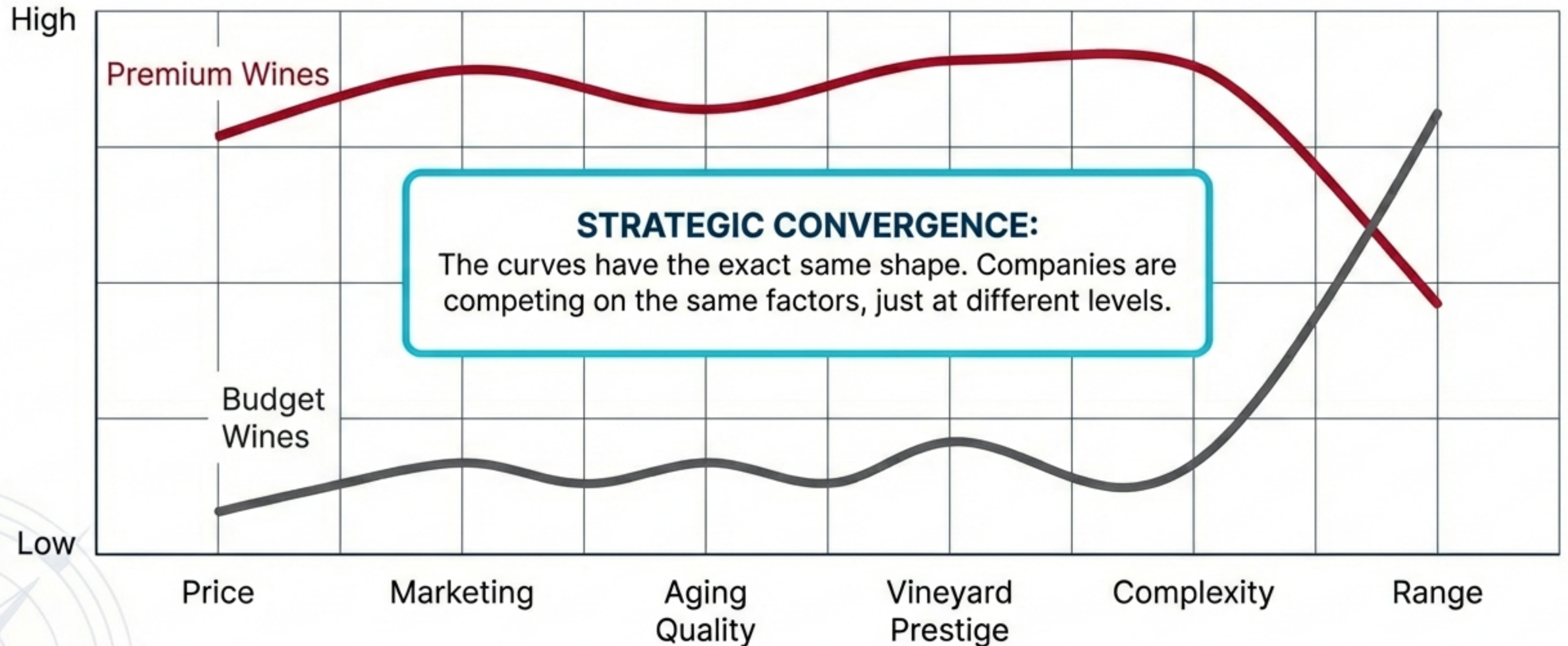
Value Innovation: Breaking the Value-Cost Trade-Off



Conventional strategy asserts you must choose between Low Cost or Differentiation.
Blue Ocean Strategy pursues both simultaneously.

The Diagnostic Tool: The Strategy Canvas

Visualizing the Current State of the US Wine Industry



The Four Actions Framework

Four key questions to reconstruct buyer value.



ELIMINATE

Which factors that the industry takes for granted should be eliminated?



RAISE

Which factors should be raised well above the industry's standard?



REDUCE

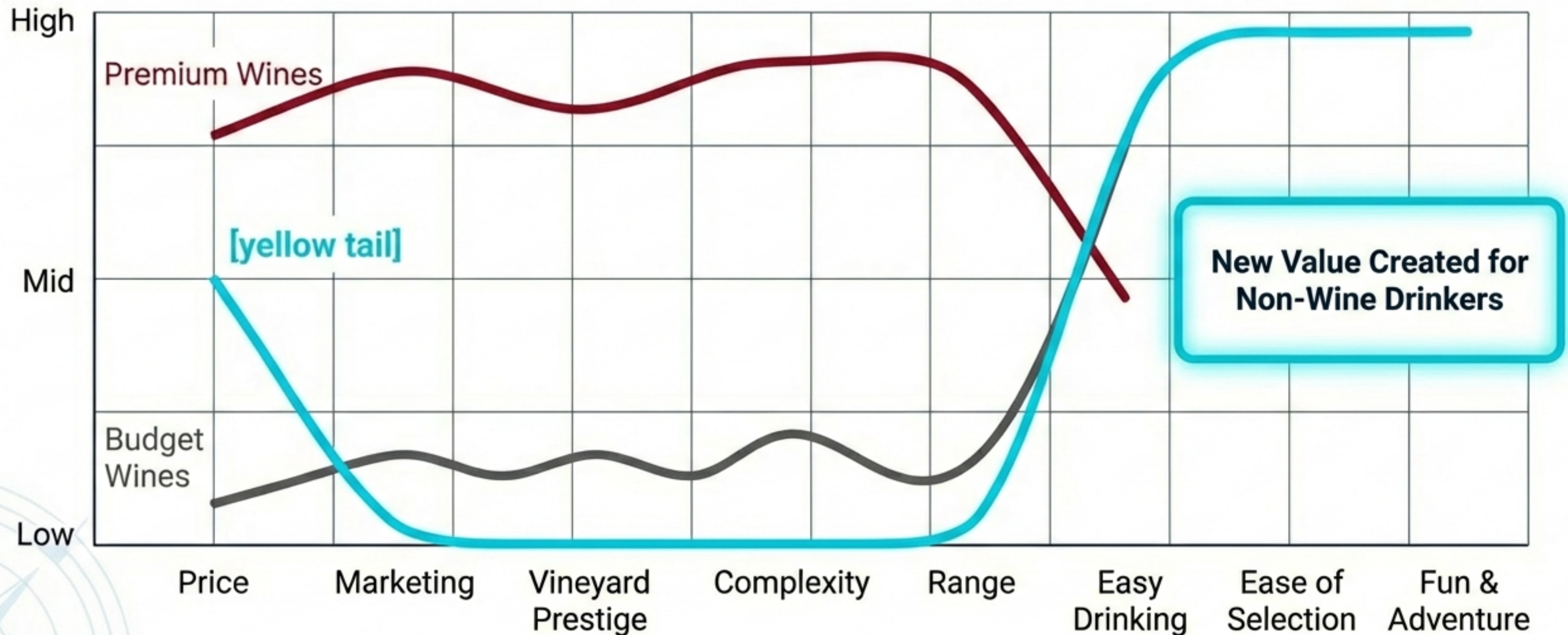
Which factors should be reduced well below the industry's standard?



CREATE

Which factors should be **created** that the industry has never offered?

Case Study: How [yellow tail] Created a Blue Ocean



The Litmus Test: Three Characteristics of a Good Strategy

01

FOCUS

The strategy does not diffuse efforts across all key factors.

Example: Southwest Airlines focuses strictly on **speed** and friendly service, ignoring meals and lounges.

02

DIVERGENCE

The value curve **stands apart** from the competition. It is not a 'me-too' profile.

Example: Southwest pioneers point-to-point midsize city travel.

03

COMPELLING TAGLINE

The strategy delivers a **clear, authentic** message.

Example: 'The speed of a plane at the price of a car—whenever you need it.'

Reconstruct Market Boundaries: Where to Look (Part 1)

Path 1: Look Across Alternative Industries

Products with different forms but the same purpose.

 **NETJETS.** Solved the trade-off between Commercial Airlines (Low cost, high hassle) and Corporate Jets (High cost, low hassle) to create **Fractional Ownership.**

Path 2: Look Across Strategic Groups

Groups within an industry pursuing similar strategies.

 **CURVES.** Bridged the gap between “Traditional Health Clubs” (Expensive, vanity-focused) and “Home Exercise” (Lonely, discipline-heavy) to create social, women-only fitness.

Reconstruct Market Boundaries: Where to Look (Part 2)

Path 3: Look Across the Chain of Buyers

Shift focus from purchasers to users or influencers.

 **NOVO NORDISK.** Shifted focus from Doctors (Influencers) to Patients (Users). Created the **NovoPen**, a user-friendly insulin delivery system.

Path 4: Look Across Complementary Offerings

What happens before, during, and after your product is used?

 **NABI BUS CO.** Realized the biggest cost for municipalities was maintenance (corrosion). Created **fiberglass buses** with higher price but lower lifecycle cost.

Reconstruct Market Boundaries: Where to Look (Part 3)

Path 5: Functional vs. Emotional Appeal

Strip emotion from emotional industries, or add emotion to functional ones.



QB HOUSE

Turned the emotional Japanese haircut ritual (1 hour) into a functional, 10-minute “air-wash” service.

Path 6: Look Across Time

Shape irreversible external trends rather than adapting to them.



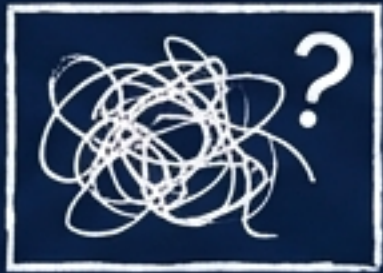
APPLE iTUNES

Capitalized on the clear trajectory of digital music sharing to create a legal, à la carte store.

Principle 2: Focus on the Big Picture

Move away from number-crunching. Use the 4 Steps of Visualizing Strategy.

Visual Awakening



1

Draw your "As Is" canvas. See the lack of focus.

Visual Exploration



2

Go into the field. Observe advantages of alternatives.

Visual Strategy Fair



3

Draw your "To Be" canvas. Get feedback from noncustomers.

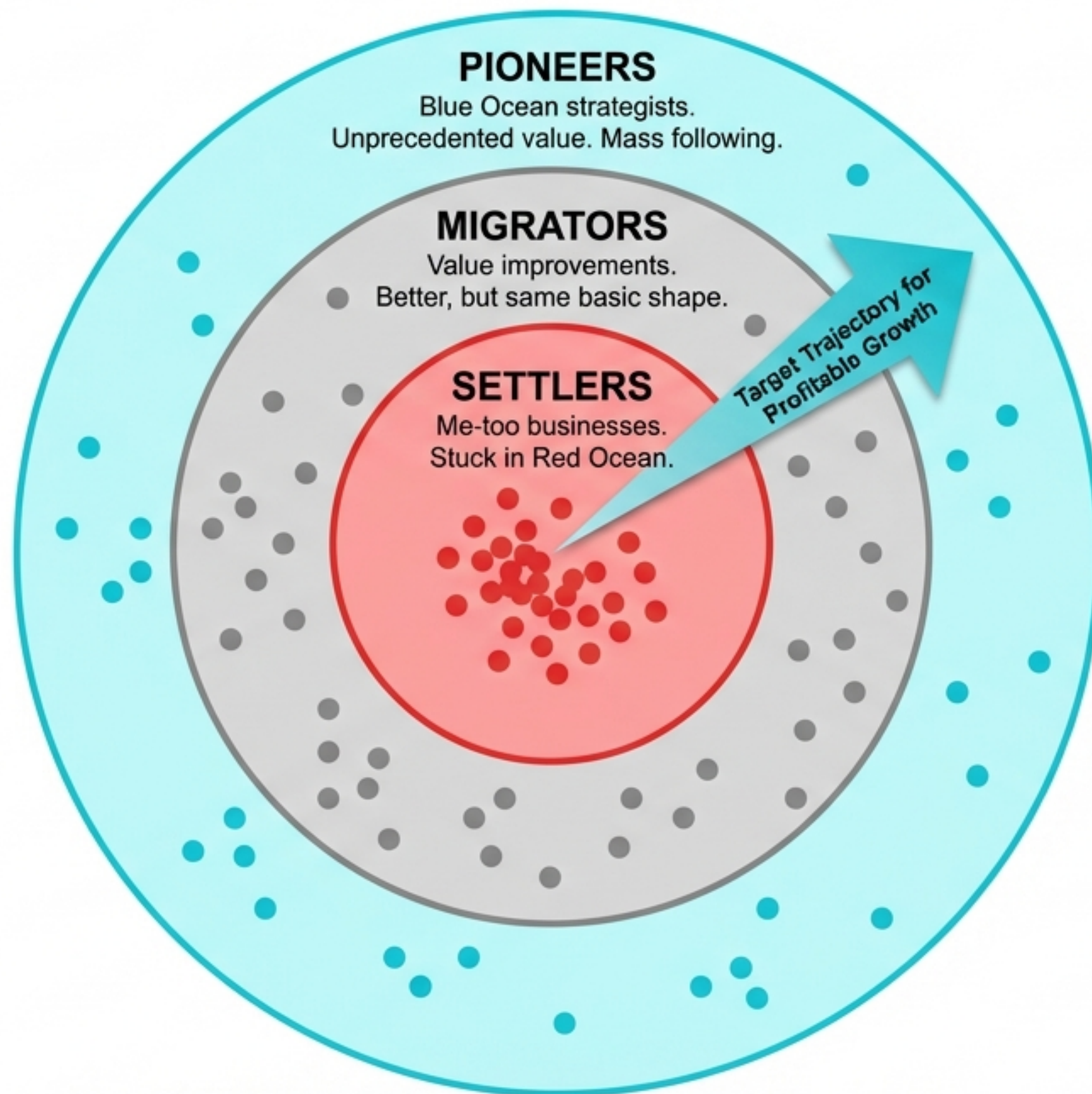
Visual Communication



4

Distribute "Before and After" profiles on one page to every employee.

Visualizing Portfolio Growth: The PMS Map



Principle 3: Reach Beyond Existing Demand

Expand the pie by looking to Noncustomers



Focus on Commonalities, not Differences

Aggregating Demand: Commonalities over Differences

Hyper-Segmentation



Hyper-Segmentation

Desegmentation / Aggregation



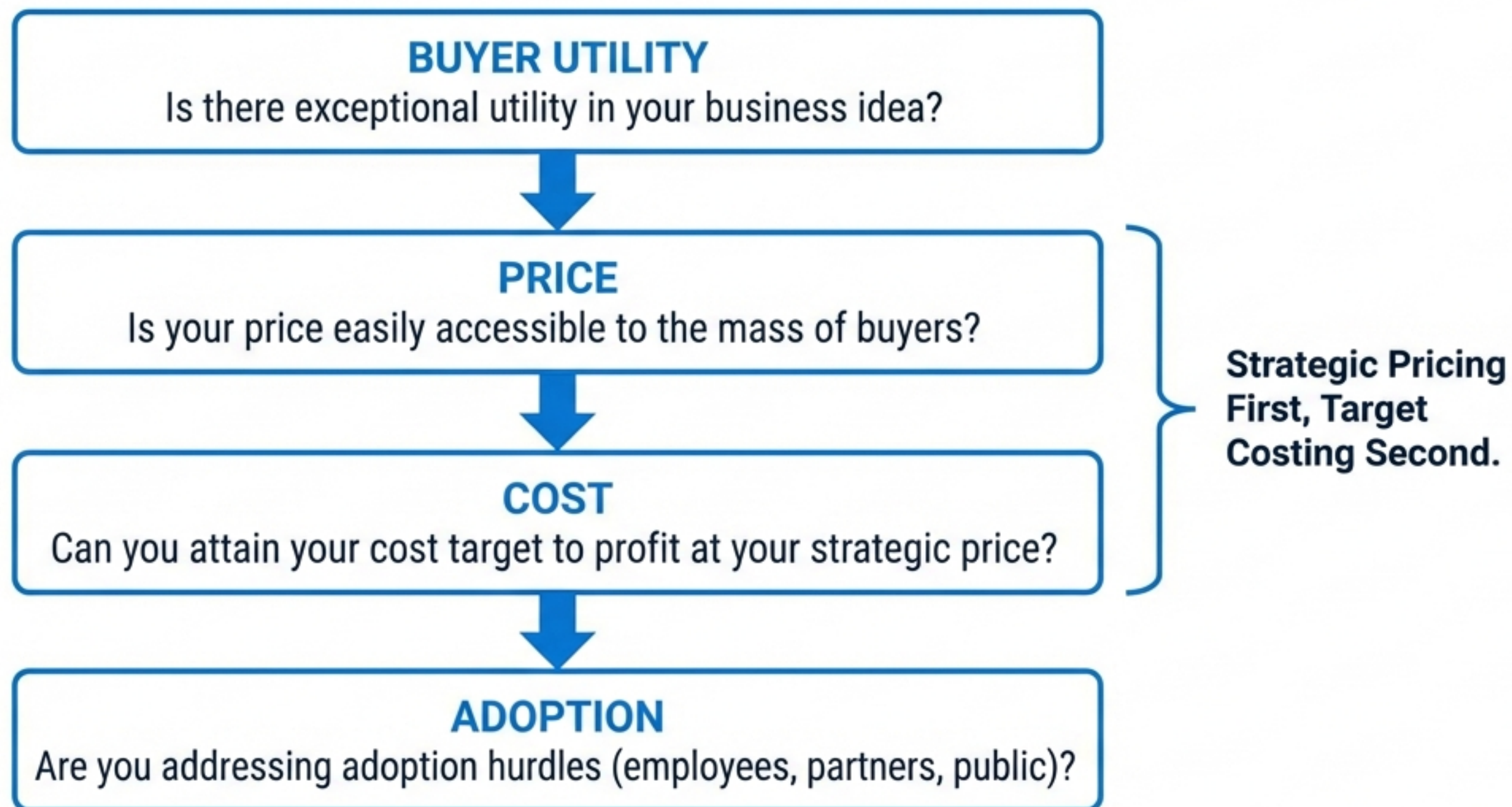
Desegmentation / Aggregation

CASE STUDY: CALLAWAY GOLF. Instead of segmenting existing golfers, they asked why sports enthusiasts **DIDN'T** play.

The Answer: It's too hard to hit the ball.

The Solution: 'Big Bertha' large-head driver aggregated demand.

Principle 4: Get the Strategic Sequence Right



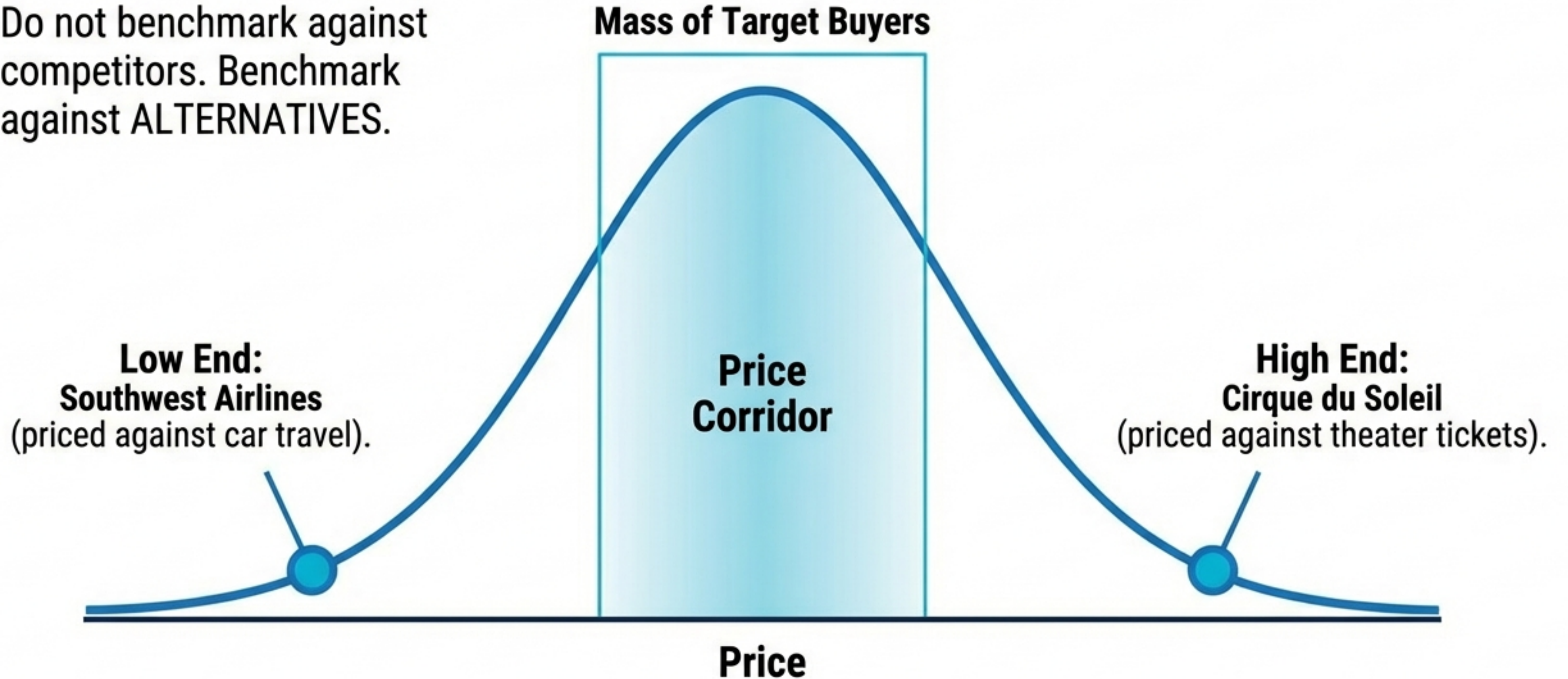
Testing for Utility: The Buyer Utility Map

Locating the blocks in the customer experience (Example: Ford Model T)

	Purchase	Delivery	Use	Supplements	Maintenance	Disposal
Customer Productivity						
Simplicity						
Convenience			Ford Model T removed the hassle of driving on dirt roads.			
Risk					Ford Model T removed the risk of breakdowns.	
Fun/Image						
Eco-Friendliness						

Strategic Pricing: The Price Corridor of the Mass

Do not benchmark against competitors. Benchmark against ALTERNATIVES.



The Mindset Shift

RED OCEAN (Structuralist View)



Industry conditions are given.



Differentiation costs money
(Value-Cost Trade-off).



Focus on beating competition.



Capture existing demand.

BLUE OCEAN (Reconstructionist View)



Market boundaries can be
reconstructed.



Differentiation and Low Cost are
simultaneous.



Focus on making competition
irrelevant.



Create and capture new
demand.

The background of the image is a photograph of a calm, deep blue ocean stretching to the horizon under a clear, light blue sky. The water has a fine, rhythmic texture of small waves.

Stop Competing. Start Creating.

Based on *Blue Ocean Strategy* by Kim & Mauborgne.